Edition B - Research Evolution

Status: Adopted by Pierce Appleton on October 19, 2026. This is a post-checkpoint, AI-assisted research update adopted by Pierce. The official Edition A PDF remains unchanged. Edition A is preserved byte-for-byte at submission/Edition A.pdf (SHA-256: 24087f84b272baba2eb9c6a3cb83f495c47e5e48f5270e833dd3fe3a2f4ba2b1).

Edition A starting point

Edition A recorded a watch/defer position for a long-term growth investor: Palantir showed strong growth, profitability, and a debt-free balance sheet, but the valuation left insufficient margin of safety. It identified intrinsic value, market-implied growth and margins, taxes, stock-based compensation and dilution, excess cash, segment durability, customer concentration, and remaining performance obligation conversion as open questions.

The supplied PDF cites the June 30, 2026 Form 10-Q and states a September 1, 2026 valuation date. That stated date predates the cited filing's August 4 publication. The inconsistency is retained and disclosed rather than silently changing the official baseline.

How the analysis evolved

Earlier work applied growth directly to free cash flow and produced a historical estimate of $158.16 per share. A later integrated forecast linked operating drivers to financial statements and produced $34.53 per share. The October 6 independent snapshot produced $29.76 per share, with an approximate $16-$65 causal DCF range. These are different model specifications and historical stages, not Edition A price targets or values to average.

After code corrections, the current model has a $30.12 base value and a $16.66-$65.91 range per diluted economic share. The valuation cutoff is October 5, 2026, and the reference market price is $189.40. The current model's price-action conclusion is do not initiate at that price. Both the earlier integrated model and the current model reject an immediate purchase under their tested assumptions.

Evidence and model checks

The analysis now uses a linked operating forecast and FCFF valuation, with explicit source and period boundaries. It distinguishes balance-sheet cash from restricted cash, assesses marketable securities separately, treats compensation as an economic cost, considers customer prepayment funding, and checks forecast and terminal reinvestment consistency. The October 5 valuation cutoff is distinct from the change in method and evidence since Edition A.

Several AI-assisted interpretations were qualified through source and definition checks. Restricted cash is not automatically available to shareholders. Net operating loss tax assets are distinguished from pretax loss pools. Weighted-average EPS shares are distinguished from dated economic shares and awards. Comparative EPS corrections and the retrospective Edition A date discrepancy are disclosed rather than used to silently alter the baseline.

An earlier partner challenge questioned whether the growth sensitivity range was wider than the margin range. Equal-proportional tests show that margin has a larger spread in 2030 operating profit and free cash flow, while growth has a larger spread in value per share because it changes the terminal revenue base. The ranking depends on the output, tested range, and assumptions held fixed.

Adopted decision and reversal conditions

Adopted portfolio action: watch/defer, with no position at $189.40. This retains Edition A's monitoring posture while accepting the current model's price-action conclusion not to initiate at the reference price. These statements describe different decisions: the model does not support buying at this price, while the portfolio retains the name for monitoring.

Reopen the analysis if evidence changes the growth runway or the price-to-value relationship. Relevant evidence includes reported commercial and government conversion, receivable collection, economic margins after compensation, investment and hosting needs, tax utilization, and a price/runway combination supported by a rebuilt operating model. A longer profitable growth runway or a sufficiently lower entry price could change the assessment; neither is an automatic purchase trigger.

Committee request: approve watch/defer with no initial position at the October 5 reference price, and review the decision when the stated operating evidence or price conditions warrant a rebuilt analysis.

Scope and limits

This update does not change the official Edition A PDF or the October 6 independent snapshot. The model range is judgment-dependent, not a statistical confidence interval. Source verification remains incomplete for the beta estimate, selected market inputs, and breadth of the peer set. Taxes, terminal maturity, margins, and compensation/dilution remain material uncertainties. Internal software checks support reproducibility and arithmetic; they do not independently verify assumptions or make the investment decision.